Week 4 Recitation

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ECON2001.01 (Prin. Micro.)

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Review

Buyer's Problem

Chapter 5 $=$ The economic tools to design **incentive** schemes to promote your own goals

- rewards or penalties that motivate a person to behave in a particular way
- designed to change the behaviors
- shape the choices we make – shape the behavior

We looked at the individual demand curve and market demand curves.

What determines the individual quantity demanded?
(Contents in the Chap 5 Appendix!)

Review

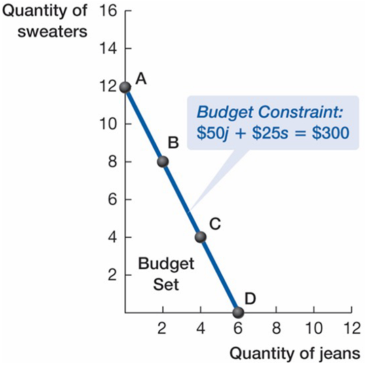
3 ingredients of Buyer's problem

- What you like (=Preference, or Tastes)
- Prices
- How much money you have to spend (=Income, or Wealth)

Story:
You like jeans and sweaters. You are going to go shopping for jeans and sweaters. A pair of jeans is \$50, and a sweater is \$25. You have \$300 of money in total.

Review

The Budget Set and the Budget Constraint



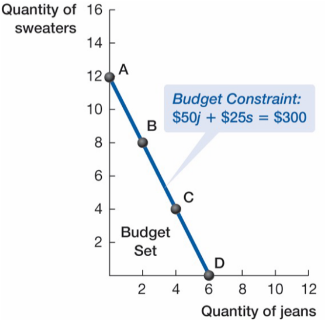
Four Bundles on the Budget Constraint

Bundle	Quantity of Sweaters	Quantity of Jeans
A	12	0
B	8	2
C	4	4
D	0	6

$$\underbrace{I}_{Income} = \underbrace{p_1x_1 + p_2x_2}_{Total\ Expenditures}$$

Review

The Budget Set and the Budget Constraint



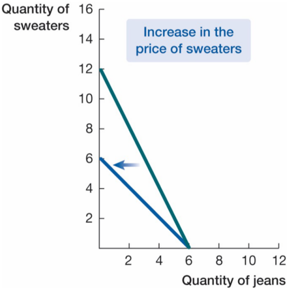
- Opportunity Cost of jeans $= \frac{\text{Loss in sweaters}}{\text{Gain in jeans}}$
- Opportunity Cost of sweater $= \frac{\text{Loss in jeans}}{\text{Gain in sweaters}}$
- Point A? B? C? D?

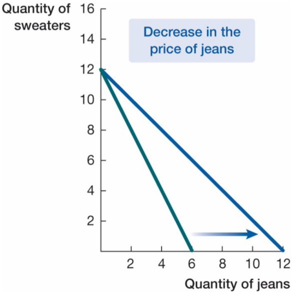
The Slope of the Budget constraint

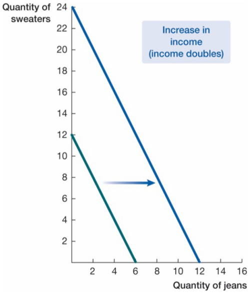
- Slope $= \frac{\text{Vertical Change}}{\text{Horizontal Change}}$
- $p_1\ j + p_2\ s = I$
  $\Leftrightarrow$

Review

Price Change / Income Change

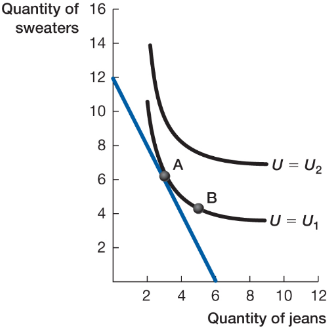






Review

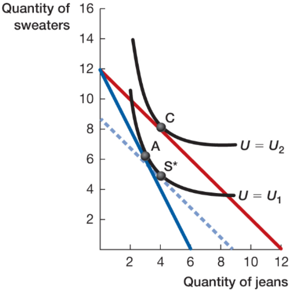
Indifference Curve

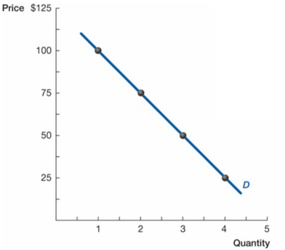


- **Indifference Curves**:
  All possible combinations of good 1 and good 2 that provide the buyer with the same level of utility
  - If some combinations provide the same exact amount of benefit, you are indifferent over those combinations.
    = "Indifference" curve
- As moving out from the origin, increasing in utility(benefit)
- Never crosses
- Slope $= -\frac{MB_H}{MB_V} = -\frac{MB_1}{MB_2}$

Review

Connecting to Demand





Price	Quantity Demanded
$25	4 pairs of jeans
50	3 pairs of jeans
75	2 pairs of jeans
100	1 pair of jeans

- $-\frac{MB_1}{MB_2} = -\frac{p_1}{p_2}$ or $\frac{MB_1}{p_1} = \frac{MB_2}{p_2}$
- Marginal Benefits per Dollar spent
- The "Bang for your buck"

Problem Set - Exercise

Chapter 5A, Textbook Problem

4. Abbie can buy books or toys for her grandson. Here are three possible bundles that she can afford.

Bundle	Quantity of Books	Quantity of Toys
A	6	0
B	3	2
C	0	4

a. Draw the budget set for Abbie.

b. What is the opportunity cost of a toy, in terms of books?

c. If the price of a toy is $12, what is the price of a book?